ISFT
INTERNATIONAL SCHOOL OF FINANCIAL TRAINING

OCN London BESPOKE

BESPOKE QUALIFICATION

ISFT Award in Introduction to Risk Management

The discipline that protects the account.



4	8	Level 3	Online
UNITS	CREDITS	AWARD	SELF-PACED

www.derivion.in

Centre: Derivion International Private Limited (trading as ISFT) · Course code 1131237

WHY THIS QUALIFICATION

Risk is the one variable a trader fully controls.

Market direction can't be controlled. Position size, leverage and a written plan can — and that discipline is what this qualification builds.

Practitioner-designed

Authored by the centre's Head Educator, drawing on over 40 years of professional risk management practice as an active trader.

Built around real numbers

Every unit works with calculations — leverage ratios, position sizes, risk-per-trade — not just definitions.

Standardised and accredited

Delivered under OCN London (course code 1131237), with a defined credit value, level and external quality assurance.

Applied, not just informational

Learners produce a written analytical report, applying risk principles to a real trading scenario.

WHO IT IS FOR

For traders ready to formalise their discipline.

Designed for traders and finance professionals who want a structured approach to managing risk, including the construction of a personal trading plan.

Level 2 completers

Ready to formalise risk discipline.

Active traders

Want a documented, repeatable process.

Finance professionals

Building a structured risk vocabulary.

Recommended prior learning

The Level 2 Award in Introduction to Financial Trading, or equivalent. There is no formal barrier to entry.

HELPFUL TO HAVE ALREADY

Comfort with basic financial arithmetic

A device with internet access to reach the Learning Management System.

A repeatable risk process, in four parts.

01

Quantify leverage and margin

Calculate the effect of a leverage ratio on a trade, and what margin protects against.

UNIT 1

02

Size a position correctly

Risk per trade, diversification, and position sizing against a stated risk tolerance.

UNIT 2

03

Document a trading plan

Entry, exit, risk and review — the four components of a plan that supports discipline.

UNIT 3

04

Choose and justify a strategy

Stop-losses, scaling out and hedging, matched to market condition and applied to a real scenario.

UNIT 4

PROGRAMME AT A GLANCE

The numbers behind the programme.

A focused, practitioner-led qualification: 4 units, 8 credits, delivered fully online at Level 3.

4	8	3	6–10
UNITS	CREDITS	LEVEL	WEEKS TYPICAL

EACH UNIT, EQUALLY WEIGHTED

- 2 Understanding Leverage and Margin
- 2 Risk and Money Management
- 2 Building a Trading Plan
- 2 Risk Management Strategies

QUALIFICATION	ISFT Award in Introduction to Risk Management
OCN LONDON COURSE CODE	1131237
CENTRE	Derivion International Private Limited (trading as ISFT), Centre ID 160472
DELIVERY	Online, self-paced · 6–10 weeks typical
ACCREDITATION / REVIEW	Accredited 13/08/2026 · Reviewed 13/08/2027

HOW YOU LEARN

Learn online, at your own pace.

Delivered fully online and self-paced through Derivion Academy. There is no fixed timetable: learners typically finish within 6 to 10 weeks.

01

Study

Video instruction and written materials.

02

Calculate

Worked leverage and position-sizing examples.

03

Assess

An online MCQ for each unit.

04

Report

A written analytical report, assessed by the Head Educator.

WHAT YOU NEED

- Computer, laptop, tablet or smartphone
- An internet connection to the LMS
- Comfort with basic financial arithmetic

YOUR LEARNING JOURNEY

Four units, one disciplined process.

1 — 2 — 3 — 4

EB1/3/LR/024

Understanding Leverage and Margin

2 credits

EB1/3/LR/025

Risk and Money Management

2 credits

EB1/3/LR/026

Building a Trading Plan

2 credits

EB1/3/LR/027

Risk Management Strategies

2 credits

EB1/3/LR/024

01

Understanding Leverage and Margin

2 cr

How leverage amplifies both gains and losses, and how margin requirements relate to the leverage in use.

The concept of leverage

- Explain how leverage amplifies both potential gains and potential losses
- Calculate the effect of a given leverage ratio on a simple trade outcome

Margin requirements and risk

- Explain the relationship between margin and leverage
- Identify the risks of trading with high leverage relative to account size

INDICATIVE CONTENT

Leverage mechanics and worked calculations

Margin requirements

Risk implications of high-leverage trading

EB1/3/LR/025

02

Risk and Money Management

2 cr

Risk per trade as a share of capital, the role of diversification, and how to size a position correctly.

Core principles of risk and money management

- Explain the concept of risk per trade as a percentage of trading capital
- Describe the role of diversification in managing overall portfolio risk

Applying position sizing

- Calculate an appropriate position size given a stated account size and risk tolerance
- Identify whether a given position size is consistent with sound risk management

INDICATIVE CONTENT

Risk-per-trade principles | Diversification | Position sizing calculations and worked examples

EB1/3/LR/026

03

Building a Trading Plan

2 cr

Why a documented plan supports discipline, and how to construct its entry, exit, risk and review components.

Purpose and components of a plan

- Explain why a documented trading plan supports disciplined trading
- Identify the key components of a structured trading plan: entry, exit, risk, review

Constructing a basic plan

- Design entry and exit criteria for a given trading scenario
- Define risk parameters appropriate to a stated trading objective

INDICATIVE CONTENT

- Purpose and structure of a trading plan
- Entry / exit criteria
- Defining risk parameters
- Review and refinement of a plan

EB1/3/LR/027

04

Risk Management Strategies

2 cr

Stop-losses, scaling out and hedging compared, then matched to a real scenario in a written analytical report.

Strategies used by professional traders

- Compare the use of stop-loss orders, scaling out, and hedging as risk management tools
- Explain how risk management strategy may vary by market condition or asset class

Applying risk management principles

- Analyse a given trading scenario and recommend an appropriate risk management approach
- Justify the recommended approach with reference to sound risk management principles

INDICATIVE CONTENT

Comparative risk management strategies

Market-condition-dependent risk approaches

Structured analytical report task

UNIT 4 · APPLIED TASK

Recommend it. Then justify it.

Unit 4 ends with a written analytical report: analyse a given trading scenario, recommend a risk management approach, and justify it against sound principles.

1,000–1,500

words, written analytical report

Assessed by the Head Educator against a published marking brief.

ANALYTICAL REPORT

Risk management scenario

Analyse the scenario

Understand the given trading situation

Recommend an approach

Choose stop-loss, scaling out or hedging

Justify the recommendation

Reference sound risk management principles

How you're assessed.

Each unit closes with an online MCQ, auto-marked on the LMS. Unit 4 adds a written analytical report.

EB1/3/LR/024	**Understanding Leverage and Margin**	MCQ
EB1/3/LR/025	**Risk and Money Management**	MCQ
EB1/3/LR/026	**Building a Trading Plan**	MCQ
EB1/3/LR/027	**Risk Management Strategies**	MCQ + report

25 questions · 50 minutes · 70% pass mark on every MCQ · report is 1,000–1,500 words

MCQ: recognition level

Where criteria say explain, describe or compare, you select the correct answer from plausible alternatives.

Report: application

Criteria that ask you to calculate, design, analyse or justify are assessed through the Unit 4 written report.

Standards you can rely on.

Assessment is quality-assured at every stage, and the qualification is reviewed every year.

1	**Set**	Activities are set internally by tutor/assessors so learners can meet the learning outcomes and assessment criteria.
2	**Moderated**	Assessed evidence is internally moderated at the centre, unless it is computer-assessed.
3	**Externally verified**	An OCN London External Quality Assurer moderates externally.
4	**Reviewed every year**	By the Head Educator, informed by learner feedback, IQA review and OCN London feedback.

Learners may progress to the Introduction to Technical Analysis in Trading Certificate or the Introduction to Behavioural Psychology in Trading Award.

WHERE THIS LEADS

Your next step.

On completion, learners may progress to the Introduction to Technical Analysis in Trading Certificate or the Introduction to Behavioural Psychology in Trading Award.

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+91 9812261029

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